

Intel (INTC US)

Earnings Beat, From Recovery to Strength

Maintained **Buy**
Target price \$94.2

Raise TP to \$94.2: Despite raised expectations, the results were much better than expected, despite conservatism on F2Q guidance. Many view the call as materially constructive than a typical Intel update. Indeed, there were brokers' upgrade to catch up, as the thesis is shifting from "turnaround survival" to "AI beneficiary + external foundry optionality". In general, we believe Intel's bread and butter CPU business will continue to be strong, while the key to watch is the supply tightness from substrate and Si-cap, and the foundry wins & execution has been tracking ahead per our consistent report updates. By factoring results, guidance and higher margins, we revise 2026E/2027E/2028E EPS to \$1.5/\$2.4/\$3.1, and lifted TP from \$78.5 to \$94.2, now based on 3.5x 2027E BVPS or 39x/30x 2027E/2028E EPS.

Earnings beat on all fronts: F1Q revenue came in at \$13.6bn, or \$1.4bn above guidance midpoint and above consensus of \$12.4bn. Non-GAAP gross margin was 41%, above guidance and consensus of 35%, while EPS was \$0.29 vs. guidance of breakeven. Operating cash flow was \$1.1bn, with adjusted FCF of -\$2bn. For F2Q, it guided sales to be \$13.8bn-\$14.8bn, or 2%-9% QoQ or consensus of \$13bn and non-GAAP gross margin of 39% to reflect the higher mix of Pather Lake. It expects EPS of \$0.20 and double digits QoQ for DCAI.

Foundry on the right track: As said many times since our *Intel Initiation on July 23 2025* and our *Intel preview on April 16*, we continue to expect strong customer engagements such as Apple, Nvidia, AMD, etc, for 18A-P (mainly 14A) and believe that it to win Tesla AI6 variant based on its 14A in late-2028. Execution wise, mgmt. indicates 18A yields are ahead of internal projections. External foundry revenue was still small at \$174m, with operating loss of \$2.4bn, improving by \$72mn QoQ. Mgmt. expects losses to improve through the year.

CPU from strength to strength: Intel believes that AI workloads are shifting from training toward inference, agentic AI, robotics, physical AI, and edge AI, making CPUs more important as the orchestration layer of the AI stack. Mgmt. suggests the server CPU demand improved meaningfully over the past 90 days and expects double-digit unit growth for both the industry and Intel in 2026, with momentum extending into 2027. As said in our *Intel preview report on April 16th*, the raise of CPU prices in 2Q26 is well expected, and we expect another round of +5-10% in late-3Q26. We now expect its DCAI to be +39% YoY/+15% YoY in 2026E/2027E.

Risks: 1) AI slowdown; 2) new product/node delay; 3) yield rates; 4) competition.

Profit forecast

	2024	2025	2026E	2027E	2028E
Revenue (m)	53,101	52,853	63,180	73,607	83,822
Revenue YoY (%)	-2.1	-0.5	19.5	16.5	13.9
Net profit (m)	-566	1,929	7,409	12,168	15,878
Net profit YoY (%)	N.A.	N.A.	284.1	64.2	30.5
EPS (\$)	-0.1	0.4	1.5	2.4	3.1
P/E	-505.0	160.6	45.8	27.9	21.4
ROE (%)	N.A.	1.7	5.9	8.9	10.4

Source: Company data, GF Securities (Hong Kong) Brokerage.

Jeff Pu, CFA

SFC CE No. BNO719
jeffpu@gfgroup.com.hk

Evan Lee

SFC CE No. BVI629
evanlee@gfgroup.com.hk

Earnings Forecast

F1Q results beat

F1Q revenue came in at \$13.6bn, or \$1.4bn above guidance midpoint and above consensus of \$12.4bn. Non-GAAP gross margin was 41%, above guidance and consensus of 35%, while EPS was \$0.29 vs. guidance of breakeven. Operating cash flow was \$1.1bn, with adjusted FCF of -\$2bn.

F2Q guidance strong, despite some conservatism on margins

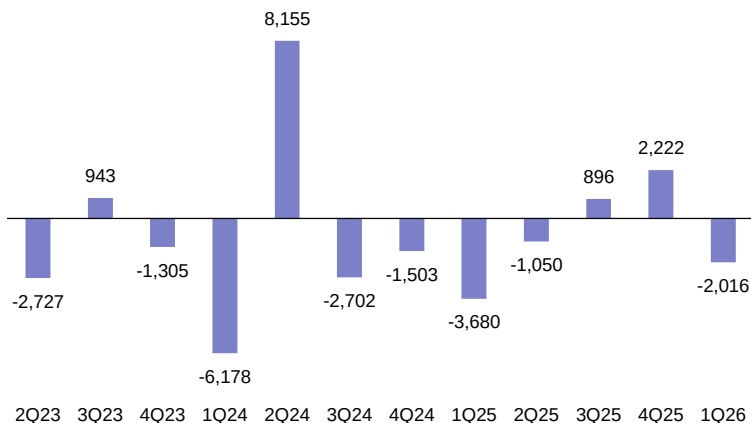
For F2Q, it guided sales to be \$13.8bn–\$14.8bn, or 2%–9% QoQ or consensus of \$13bn and non-GAAP gross margin of 39% to reflect the higher mix of Pather Lake. It expects EPS of \$0.20 and double digits QoQ for DCAI.

Figure 1: 1Q26 Results Review

USD mn	1Q26	4Q25	QoQ	1Q25	YoY	GFHK	Diff	Cons.	Diff
Revenue	13,577	13,674	-1%	12,667	7%	12,619	8%	12,409	9%
Gross profit	5,570	5,180	8%	4,961	12%	4,466	25%	4,283	30%
OPEX	3,902	3,975	-2%	4,271	-9%	3,660	7%	3,883	0%
Operating profit	1,668	1,205	38%	690	142%	807	107%	400	317%
Pre-tax profit	1,590	912	37%	611	133%	707	113%	371	318%
Net profit	1,485	767	94%	580	156%	954	56%	62	2313%
EPS (\$)	0.29	0.15	97%	0.13	119%	0.19	56%	0.01	2147%
	1Q26	4Q25	ppt	1Q25	ppt	GFHK	ppt	Cons.	ppt
Gross Margin	41.0%	37.9%	3.1	39.2%	1.9	36.2%	4.8	34.5%	6.5
Operating Margin	12.3%	8.8%	3.5	5.4%	6.8	6.4%	5.9	3.2%	9.1
Pretax margin	11.7%	6.7%	5.0	4.8%	6.9	5.6%	6.1	3.0%	8.7
Net margin	10.9%	5.6%	5.3	4.6%	6.4	7.6%	3.4	0.5%	10.4

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 2: Intel's adjusted free cash flow (USD m)



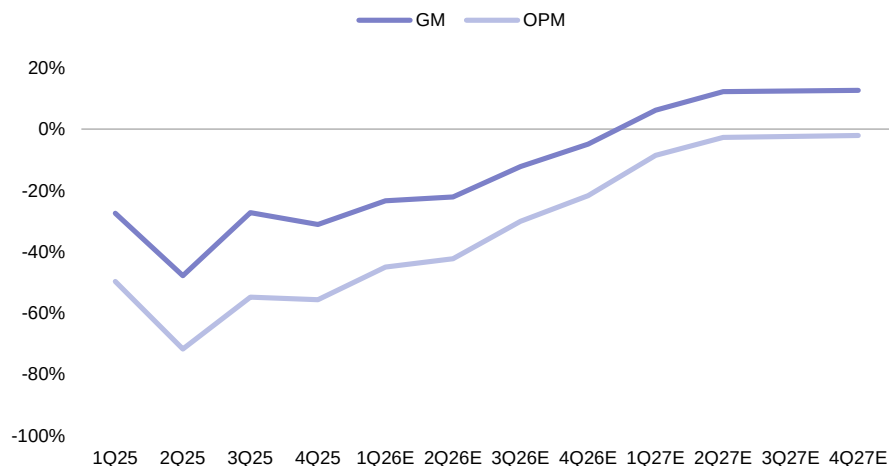
Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 3: Intel's Server CPU Roadmap

Architecture	Sapphire Rapids	Emerald Rapids	Sierra Forest	Granite Rapids	Clearwater Forest	Diamond Rapids
Xeon Scalable	4th Gen	5th Gen	6th Gen	6th Gen	6th+ Gen	7th Gen
Platform	Eagle Stream	Eagle Stream	Birch Stream	Birch Stream	Birch Stream	Oak Stream
Launch Date	1Q23	4Q23	2Q24	4Q24	4Q26	2027
Fabrication Node	Intel 7	Intel 7	Intel 3	Intel 3	Intel 18A	Intel 18A
Core µArch	Golden Cove	Raptor Cove	E-Core (Crestmont)	P-Core (Redwood Cove)	E-Core	P-Core
Socket	LGA 4677	LGA 4677	LGA 4710/7529	LGA 4710/7529	LGA 7529	LGA 9324
Memory Support	DDR5	DDR5	DDR5	DDR5	DDR5	DDR5
PCIe Gen	PCIe 5.0	PCIe 5.0	PCIe 5.0	PCIe 5.0	PCIe 5.0	PCIe 6.0

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 4: Foundry GM, OPM forecast



Sources: Company data, GF Securities (Hong Kong) Brokerage

Earnings revision

By factoring results, guidance and higher margins, we revise 2026E/2027E/2028E EPS to \$1.5/\$2.4/\$3.1.

Figure 5: Earnings revision

USD m	2025	2026E		2027E		Change (%)	
		Old	New	Old	New	2026E	2027E
Net sales	52,853	56,465	63,180	64,554	73,607	12%	14%
Gross profit	19,410	21,871	26,142	28,545	33,451	20%	17%
Operating profit	2,916	5,725	8,437	10,247	12,954	47%	26%
Pre-tax Income	2,154	5,325	7,909	9,847	12,754	49%	30%
Net profit	1,929	5,889	7,409	10,317	12,168	26%	18%
EPS (\$)	0.41	1.15	1.46	2.02	2.39	26%	18%
Key ratios (%)	2025	2026E		2027E			
		Old	New	Old	New		
Gross margin	36.7%	38.7%	41.4%	44.2%	45.4%		
Operating margin	5.5%	10.1%	13.4%	15.9%	17.6%		
Pre-tax margin	4.1%	9.4%	12.5%	15.3%	17.3%		
Net profit margin	3.6%	10.4%	11.7%	16.0%	16.5%		

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 6: Intel's P&L forecast

(USD m)	2025	1Q26E	2Q26E	3Q26E	4Q26E	2026E	1Q27E	2Q27E	3Q27E	4Q27E	2027E
Sales	52,853	13,577	14,756	16,773	18,178	63,180	16,491	17,880	19,689	19,547	73,607
COGS	33,443	8,007	8,925	9,789	10,317	37,038	9,285	9,662	10,588	10,620	40,156
Gross profit	19,410	5,570	5,831	6,984	7,862	26,142	7,206	8,217	9,101	8,927	33,451
Opex	16,494	3,902	4,176	4,697	5,035	17,810	4,782	5,042	5,415	5,258	20,497
Operating profit	2,916	1,668	1,655	2,287	2,826	8,437	2,424	3,175	3,686	3,669	12,954
Non-operating profit	(762)	(78)	(150)	(150)	(150)	(528)	(50)	(50)	(50)	(50)	(200)
Pre-tax profit	2,154	1,590	1,505	2,137	2,676	7,909	2,374	3,125	3,636	3,619	12,754
Income tax	(171)	(224)	166	235	294	471	252	340	398	396	1,385
Minority Interest	-396	-329	100	100	100	-29	200	200	200	200	800
Non-GAAP Net Income	1,929	1,485	1,440	2,002	2,482	7,409	2,321	2,985	3,439	3,423	12,168
Non-GAAP EPS (\$)	0.42	0.29	0.28	0.39	0.49	1.46	0.46	0.59	0.68	0.67	2.39
Diluted shares	4,530	5,083	5,083	5,083	5,083	5,083	5,083	5,083	5,083	5,083	5,083
Margin analysis											
Gross margin	36.7%	41.0%	39.5%	41.6%	43.2%	41.4%	43.7%	46.0%	46.2%	45.7%	45.4%
Operating margin	5.5%	12.3%	11.2%	13.6%	15.5%	13.4%	14.7%	17.8%	18.7%	18.8%	17.6%
Pre-tax margin	4.1%	11.7%	10.2%	12.7%	14.7%	12.5%	14.4%	17.5%	18.5%	18.5%	17.3%
Effective tax rate	-7.9%	-14.1%	11.0%	11.0%	11.0%	6.0%	10.6%	10.9%	10.9%	10.9%	10.9%
Growth (% YoY)											
Sales	0%	7%	15%	23%	33%	20%	21%	21%	17%	8%	17%
Operating profit	-1248%	142%	-429%	50%	135%	189%	45%	92%	61%	30%	54%
Net income	-441%	156%	-426%	96%	224%	284%	56%	107%	72%	38%	64%
EPS	-414%	119%	-381%	74%	230%	251%	56%	107%	72%	38%	64%
Product mix (%)											
CCG	61%	57%	57%	55%	51%	55%	47%	49%	49%	48%	48%
DCAI	32%	37%	38%	37%	37%	37%	38%	36%	36%	37%	37%
IFS	34%	40%	37%	37%	38%	38%	45%	43%	41%	42%	43%
Others	-27%	-34%	-32%	-29%	-26%	-30%	-30%	-28%	-26%	-27%	-28%

Sources: Company data, GF Securities (Hong Kong) Brokerage

Valuation and Recommendation

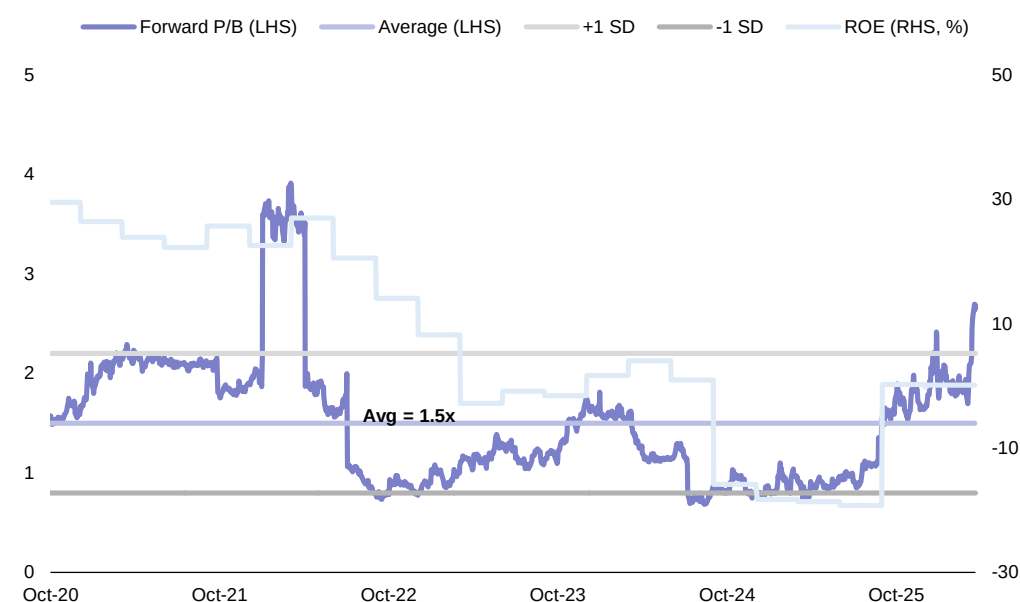
Maintain Buy with TP of \$94.2

We rate Intel (INTC US) Buy and set our TP at \$94.2, which is now based on 3.5x our 2027E BVPS estimate, a level we view as justified and above the company's historical pattern, as we project its ROE will recover to a ~10% range in 2027E-2028E. We still adopt P/B methodology as we believe the volatility of net profit will distort the P/E valuation metrics, and its earnings will likely recover.

Intel's P/B traded at an average of 1.5x post pandemic when the new "IDM 2.0" and "5Y4N" strategy rolled out. Share price was volatile in the past few years due to events of: 1) multiple delays in leading technologies; 2) inferior financial performance of IFS; 3) mgmt. changes; 4) weakening position amid intensive competition.

Our target price is at the high end of its mid-cycle valuation, as we believe the New CEO Li-Bu Tan's initiatives with financial discipline and process technology development to remake Intel will stabilize company's position in the industry. On a relative basis, Intel trades lower than leading foundry peers due to financial challenges, but we expect Intel to catch up driven by the progress of Intel 18A and 14A.

Figure 7: Intel 12-month forward P/B and ROE



Sources: Company data, GF Securities (Hong Kong) Brokerage

Risks

1) AI slowdown; 2) new product/node delay; 3) yield rates; 4) competition.

Balance Sheet						USD mn
	2024	2025	2026E	2027E	2028E	
Current assets	47,324	63,688	73,555	82,879	90,610	
Cash and cash equivalents	22,062	26,265	27,497	28,279	27,320	
Inventory	12,198	11,618	12,867	13,950	15,333	
Accounts Receivable	3,478	3,839	4,589	5,346	6,088	
Other current assets	9,586	21,966	28,603	35,304	41,868	
Non-current assets	149,161	147,741	162,516	180,918	201,874	
Long-term equity investment	5,383	8,512	8,440	8,440	8,440	
Fixed assets	107,919	105,414	120,261	138,663	159,619	
Other long-term assets	35,859	33,815	33,815	33,815	33,815	
Total assets	196,485	211,429	236,071	263,797	292,484	
Current liabilities	35,666	31,575	36,893	42,183	47,494	
Accounts Payable	12,556	9,882	10,944	11,866	13,042	
Short-term borrowings	3,729	2,499	3,004	3,586	4,011	
Other current liabilities	19,381	19,194	22,944	26,731	30,441	
Non-current liabilities	55,787	53,494	62,410	72,677	80,174	
Long-term Debt	46,282	44,086	53,002	63,269	70,766	
Other non-current liabilities	9,505	9,408	9,408	9,408	9,408	
Total liabilities	91,453	85,069	99,302	114,860	127,668	
Total Equity	105,032	126,360	136,769	148,938	164,815	
Share Capital	50,949	65,185	68,185	68,185	68,185	
Additional Paid-in Capital	-711	113	113	113	113	
Retained earnings	49,032	48,983	56,392	68,561	84,438	
Minority interests	5,762	12,079	12,079	12,079	12,079	
Total Liabilities & Equity	196,485	211,429	236,071	263,797	292,484	

Income Statement						USD mn
	2024	2025	2026E	2027E	2028E	
Revenue	53,101	52,853	63,180	73,607	83,822	
Cost of sales	34,002	33,443	37,038	40,156	44,137	
Gross profit	19,099	19,410	26,142	33,451	39,686	
Operating Expense	19,353	16,494	17,705	20,497	22,539	
Operating profit	-254	2,916	8,437	12,954	17,146	
Interest Income	1,245	4,257	-	-	-	
Interest Expense	-1,034	-1,000	-1,338	-400	-400	
Net other Non-op. Income/(Loss)	-719	-4,019	810	200	200	
Pre-tax profit	-762	2,154	7,909	12,754	16,946	
Income tax	-97	-171	471	1,385	-144	
Profit for the year	-665	2,325	7,438	11,368	17,090	
Minority interest	81	-396	-29	800	800	
Net profit to ord. equity	-566	1,929	7,409	12,168	15,878	
EPS (\$)	-0.1	0.4	1.5	2.4	3.1	

Cash Flow Statement						USD mn
	2024	2025	2026E	2027E	2028E	
Operating cash flow	8,288	9,697	17,395	23,007	27,466	
Profit for the year	-566	1,929	7,409	12,168	15,878	
Depreciation & amortization	11,379	13,191	13,809	14,672	15,392	
Change in working capital	-38,423	-	-3,823	-3,834	-3,804	
Others	35,898	-5,423	-	-	-	
Investing cash flow	-18,256	-14,821	-28,585	-33,074	-36,347	
Capex	-23,944	-17,700	-17,000	-20,000	-20,000	
Change in investment	446	-3,129	72	-	-	
Others	5,242	6,008	-11,657	-13,074	-16,347	
Free cash flow	-9,968	-5,124	-11,189	-10,067	-8,881	
Financing cash flow	11,138	11,587	12,421	10,849	7,923	
Change in Capital	-4,367	19,399	3,000	-	-	
Net Change in Debt	745	-3,426	9,421	10,849	7,923	
Others	14,760	-4,386	-	-	-	
Exchange influence	-	-	-	-	-	
Net increase in cash	1,170	6,463	1,232	782	-958	

Key Financial Ratios					
	2024	2025	2026E	2027E	2028E
Growth					
Revenue growth	-2.1	-0.5	19.5	16.5	13.9
Operating profit growth	N.A.	N.A.	189.3	53.5	32.4
Net profit growth	N.A.	N.A.	284.1	64.2	30.5
Profitability					
Gross profit margin	36.0	36.7	41.4	45.4	47.3
Operating Profit Margin	-0.5	5.5	13.4	17.6	20.5
Net profit margin	-1.1	3.6	11.7	16.5	18.9
Key Ratio					
ROA	N.A.	0.9	3.3	4.9	5.7
ROE	N.A.	1.7	5.9	8.9	10.4
Stability					
Gross debt/equity	47.6	36.9	40.9	44.9	45.4
Interest Coverage	1.7	-1.2	-4.9	-30.9	-41.4
Current Ratio	1.3	2.0	2.0	2.0	1.9
Quick Ratio	1.0	1.6	1.6	1.6	1.6
Net debt/equity	39.8	25.6	29.6	34.0	36.1

Rating definitions Benchmark: Hang Seng Index (Hong Kong)

Company ratings	Buy	Stock expected to outperform benchmark by more than 10%
	Hold	Expected stock relative performance ranges between -10% and 10%
	Underperform	Stock expected to underperform benchmark by more than 10%

Sector ratings	Positive	Sector expected to outperform benchmark by more than 10%
	Neutral	Expected sector relative performance ranges between -10% and 10%
	Cautious	Sector expected to underperform benchmark by more than 10%

Hong Kong	Company	GF Securities (Hong Kong) Brokerage Limited
	Address	27/F, GF Tower, 81 Lockhart Road, Wan Chai, Hong Kong
	Telephone	(852) 37191111
	Email	evanleei@gfgroup.com.hk

Disclaimer

This report has been prepared by GF Securities (Hong Kong) Brokerage Limited ("GF Securities (Hong Kong) Brokerage"). According to the laws, regulations and regulatory requirements in different countries and regions, this report is distributed by GF Securities (Hong Kong) Brokerage with relevant legal and compliant operation qualifications in these countries and regions.

GF Securities (Hong Kong) Brokerage is licensed by the Securities and Futures Commission of Hong Kong ("SFC") to conduct Type 4 Regulated Activity "Advising on Securities". It is regulated by the SFC, and is responsible for the distribution of this report in Hong Kong. Information about the qualifications of the research analyst(s) who is(are) the author(s) of this report as licensed by the SFC are disclosed in the section where research analyst names are shown.

The research analyst(s) primarily responsible for the content of this report, in whole or in part, certifies that with respect to the company or relevant securities that the analyst(s) covered in this report: 1) all of the views expressed accurately reflect his or her personal views on the company or relevant securities mentioned herein; and 2) no part of his or her remuneration was, is, or will be, directly or indirectly, in connection with his or her specific recommendations or views expressed in this report.

This report is published solely for information purpose and does not constitute an offer to buy or sell any securities or a solicitation of an offer to buy, or recommendation for investment in, any securities.

The securities mentioned in this report may not be allowed to be sold in certain jurisdictions. No action has been taken to permit the distribution of the research report to any person in any jurisdiction that the circulation or distribution of such research report is unlawful. This report is distributed solely to clients or designated institutions authorized by GF Securities (Hong Kong) Brokerage, and is not distributed publicly. It is distributed to certain clients based on the conclusion that they are able to assess investment risks independently, execute investment decisions independently and assume corresponding risks independently.

This report has been issued and based on information obtained from sources generally available to the public and believed by the research analyst(s) to be reliable but which has not been independently verified. No representation or warranty, either express or implied, is made by GF Securities (Hong Kong) Brokerage as to their accuracy and completeness of the information contained in this report. GF Securities (Hong Kong) Brokerage accepts no liability for all loss arising from the use of the materials presented in this report, unless is excluded by applicable laws or regulations. Please be aware of the fact that investments involve risks and the price of securities may be fluctuated and therefore return may be varied, past results do not guarantee future performance. Any recommendation contained in this report does not have regard to the specific investment objectives, financial situation and the particular needs of any individuals. This report is not to be taken in substitution for the exercise of judgment by respective recipients of this report, where necessary, recipients should obtain professional advice before making investment decisions.

GF Securities (Hong Kong) Brokerage may have issued, and may in the future issue, other communications that are inconsistent with, and reach different conclusions from, the information presented in the research report. The points of view, opinions and analytical methods adopted in the research report are solely expressed by the analysts but not that of GF Securities (Hong Kong) Brokerage or its affiliates. The information, opinions and forecasts presented in the research report are the current opinions of the analysts as of the date appearing on this material only which may subject to change at any time without notice. The salesperson, dealer or other professionals of GF Securities (Hong Kong) Brokerage may deliver opposite points of view to their clients and the proprietary trading division with respect to market commentary or dealing strategy either in writing or verbally. The proprietary trading division of GF Securities (Hong Kong) Brokerage may have different investment decision which may be contrary to the opinions expressed in the research report. GF Securities (Hong Kong) Brokerage or its affiliates or respective directors, officers, analysts and employees related to research report business may have rights and interests in securities mentioned in the research report. Recipients should be aware of relevant disclosure of interest (if any) when reading this report.

GF Securities (Hong Kong) Brokerage and its affiliates may be seeking or building business relationships with company(ies) mentioned in this report. Therefore, investors should consider the impact on the independence of this report by GF Securities (Hong Kong) Brokerage and its affiliates due to potential conflicts of interests. Investors should not make any investment decisions based solely on the contents of this report. Investors should make their own investment decisions and bear their own risk. No written or verbal commitment of sharing gains or losses from securities investments in any form shall be effective.

This report may contain and/or describe/present factual historical information on prices of Futures contracts (the "information"). Please note that this information is solely for the purpose of forming part of the argument/grounds/evidence in our research methodology/analysis to support our conclusion on our view of the relevant industry/company mentioned. It does not, by any means (express or implied) to be associated with or constituted as SFC Type 5 Regulated Activity (Advising on futures contracts).

Disclosure of Interests

- 1) The research analyst(s) and his/her associate has not served as an officer of the company(ies) mentioned in this report, and does not have any financial interests in the company(ies) mentioned in this report.
- 2) GF Securities (Hong Kong) Brokerage and/or its affiliates does not have any financial interests and has not invested in interests aggregate to an amount equal to or more than (i) 1% of the market capitalization; or (ii) 1% of the issued share capital, or issued units, in the company(ies) mentioned in this report.
- 3) GF Securities (Hong Kong) Brokerage and/or its affiliates does not have any market making activities, and has not employed any individual(s) serving as officer(s) of the company(ies) mentioned in this report.
- 4) GF Securities (Hong Kong) Brokerage and/or its affiliates does not have any investment banking relationship in Hong Kong with the company(ies) mentioned in this report in the past 12 months.

Copyright © GF Securities (Hong Kong) Brokerage

Without the prior written consent obtained from GF Securities (Hong Kong) Brokerage, any part of the materials contained herein should not (i) in any forms be copied or reproduced or (ii) be re-disseminated.